

NESA Number: _____



Cherrybrook Technology High School

Year 12 Business Studies

2021 Assessment Task 4 – AP4 Examination

Weighting: 30%

General Instructions

- Reading time – 5 minutes
- Working time – 3 hours
- Write using black pen
- Draw diagrams using pencil
- Calculators approved by NESA may be used

Total Marks (100)

Section I – 20 marks

- Attempt Questions 1 – 20
- Allow about 35 minutes for this section

Section II – 40 marks

- Attempt Questions 21 – 24
- Allow about 1 hour and 15 minutes for this section

Section III – 20 marks

- Attempt Question 25
- Allow about 35 minutes for this section

Section IV – 20 marks

- Attempt Question 26 or Question 27
- Allow about 35 minutes for this section

Section I

20 marks

Attempt Questions 1-20

Allow about 35 minutes for this section

Use the multiple-choice answer sheet for Questions 1 – 20

- 1 A global business attempts to reduce the average cost of its product by increasing output.
- What is this strategy called?
- A. Logistics
 - B. Economies of scale
 - C. Global sourcing
 - D. Scanning and learning
- 2 An online business has written a free feature article about Olivia's Beauty Salon and the services it offers.
- This is an example of which of the following elements of the promotion mix?
- A. Publicity
 - B. Public relations
 - C. Personal selling
 - D. Sales promotion
- 3 Read the following information:
- Management of a manufacturing business regularly assesses key performance indicators against predetermined marketing objectives and takes corrective action when needed.
- Which function is management undertaking?
- A. Planning
 - B. Organising
 - C. Collaborating
 - D. Controlling

- 4 Why would a business use an autocratic leadership style?
- A. To get input from employees before making a decision
 - B. To allow employees to contribute to decision-making
 - C. To make quick decisions due to tight deadlines and time constraints
 - D. To motivate staff and encourage a form of ownership over their work
- 5 A small business owner is attempting to secure a loan so that they can pay to advertise a new product.
- This shows the interdependence between which two business functions?
- A. Operations and Marketing
 - B. Finance and Marketing
 - C. Finance and Operations
 - D. Operations and Human Resources
- 6 A business introduces weekly meetings to discuss processes that will enhance efficiency of the manufacturing process.
- This is an example of which of the following quality management strategies?
- A. Quality control
 - B. Quality assurance
 - C. Quality enhancement
 - D. Quality improvement
- 7 TD Electronics is aiming to reduce the volume of waste in its operations process.
- Which performance objective is it aiming to achieve?
- A. Cost
 - B. Flexibility
 - C. Dependability
 - D. Customisation

- 8 Which financial institution pools together investor funds, invests them into financial assets and distributes these periodically to investors?
- A. A Unit Trust
 - B. A Superannuation Fund
 - C. A Life Insurance Company
 - D. A Community Bank
- 9 Which of the following is the most liquid business asset on a balance sheet?
- A. Cash
 - B. Inventory
 - C. Accounts receivable
 - D. Accounts payable
- 10 *JobKeeper* was a government payment which allowed businesses to pay staff during enforced COVID closures.
- Which element of the human resource cycle does this reflect?
- A. Acquisition
 - B. Separation
 - C. Development
 - D. Maintenance
- 11 A manufacturer of beauty products which sells online is seeking feedback from its customers to match product design specifications to customer desires.
- Which performance objective is this business trying to achieve?
- A. Speed
 - B. Quality
 - C. Dependability
 - D. Customisation

- 12 An electronics retailer always sells its oldest models of phones in stock first.

Which form of inventory management is being followed by this business?

- A. Just In Time
- B. Last In First Out
- C. First in First Out
- D. Supplier rationalisation

- 13 *Clear Plastics* manufactures plastic containers.

Which of the following would be considered a weakness in *Clear Plastics*' situational analysis?

- A. Fluctuating prices of raw materials from suppliers
- B. A new plastics supplier entering the market with cheaper products
- C. Hiring of new employees resulting in lack of experience in some roles within the business
- D. Government regulations requiring *Clear Plastics* to invest in more environmentally friendly practices

- 14 Which of the following is useful in assessing worker satisfaction?

- A. Solvency, absenteeism and levels of disputation
- B. Levels of disputation, corporate culture and staff turnover
- C. Staff turnover, corporate culture and changes in profitability
- D. Changes in profitability, absenteeism and levels of disputation

- 15 Observe the following cashflow statement for Fast Food Ltd.

	<i>January</i>	<i>February</i>	<i>March</i>	<i>April</i>
<i>Opening Balance</i>	0			
<i>Cash inflow</i>	6,000	2,000	3,000	4,000
<i>Cash outflow</i>	5,000	4,000	1,000	3,000

In which month did Fast Foods Ltd start with a negative cash balance?

- A. January
- B. February

C. March

D. April

16 Which approach to marketing focuses on finding out what consumers want and then satisfying that need by emphasising customer satisfaction and quality?

A. Sales approach

B. Production approach

C. Marketing approach

D. Relationship approach

17 Which of the following combinations is an example of people and physical elements for a business in the hospitality industry?

A. Friendly staff and effective lighting

B. Friendly staff and effective advertising

C. Experienced staff and a variety of food

D. Experienced staff and reasonable prices

18 A business implements a performance management strategy to develop individual employee skills, so that they are prepared for promotion opportunities that may arise.

What is the purpose of this performance appraisal?

A. Administrative

B. Acknowledgement

C. Developmental

D. Technique performance

Use the following extract of a balance sheet to answer Questions 19 and 20:

Balance Sheet as at 30 June 2020 – Luca Pty Ltd

Current Assets	\$	Current Liabilities	\$
Cash	2,000	Accounts Payable	2,000
Accounts Receivable	1,000	Overdraft	3,000
Inventory	?		
Non-Current Assets	\$	Non-Current Liabilities	\$
Buildings	15,000	Loans	3,000
		Total Equity	
		Capital	3,000
		Net Profit	10,000
Other financial information for Luca Pty. Ltd.:			
2019 current ratio (current assets/current liabilities): 1.9:1			
2020 current ratio industry average: 2.0:1			

- 19 What is the gearing ratio (total liabilities ÷ equity) for this business in 2020?
- A. 0.2:1
B. 0.5:1
C. 0.6:1
D. 0.8:1
- 20 Which of the following is true of Luca Pty. Ltd.'s current ratio in 2020?
- A. It is better than 2019 and better than the industry average.
B. It is better than 2019, but worse than the industry average.
C. It is worse than 2019, but better than the industry average.
D. It is worse than 2019 and worse than the industry average.

Section II

40 marks

Attempt Questions 21-24

Allow about 1 hour and 15 minutes for this section

Answer the questions in the spaces provided. These spaces provide guidance for the expected length of response.

Extra writing space is provided at the back of this booklet. If you use this space, clearly indicate which question you are answering.

Question 21 (10 Marks)

Marks

A Ware Ltd. Is a successful transnational corporation selling expensive active wear clothing for men and women. Management aims to increase sales and profitability.

- (a Explain how sociocultural and economic influences may influence consumer choice to purchase A Wear Ltd. clothing. **4**

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Question 21 continues on the next page

Question 21 (Continued)

Marks

- (b)** Recommend TWO promotional marketing strategies that can be adopted by A Wear Ltd.

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End of Question 21

Question 22 (10 Marks)

Marks

A manufacturing business operating across Australia employs a large workforce. Management decides to outsource key human resource functions including recruitment, induction, change management, training and development of employees. Recently there has been an industrial dispute with employees demanding higher pay, and better working conditions.

- (a Outline TWO benefits of outsourcing key human resource functions for this) business. **4**

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(ii)

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Question 22 continues on the next page

Question 22 (Continued)

Marks

- (a Explain TWO methods this business could use to resolve the disputes between
) employers and employees. **6**

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End of Question 22

Question 23 (10 Marks)

Marks

- (a Identify ONE transformed and ONE transforming resource.
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Transformed resource:

Transforming resource:

- (b Describe TWO reasons why employers would be resistant to change
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- (c Explain how Gantt charts and critical path analysis can be used to improve
) business operations.

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End of Question 23 Question 24 (10 Marks)	Marks
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Fresh Juice Pty. Ltd. is a successful business focused on long-term financial growth. It is looking to purchase additional machinery and raw materials to increase production.

- (a) Outline the strategic role of financial management. 2
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- (b) Explain potential conflict between *short-term* and *long-term* financial objectives 4
) for Fresh Juice Pty. Ltd.

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Question 24 continues on the next page

Question 24 (Continued)

Marks

- (c) Discuss ONE external long-term source of finance that Fresh Juice Pty Ltd can obtain to fund this growth. **4**

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End of Question 24

Section II – Extra Writing Space

If you use this space, clearly indicate which question you are answering.

This image shows a full page of white paper with horizontal dotted lines, typical of primary school handwriting practice paper. The lines are evenly spaced and run across the entire width of the page. There are no margins, text, or other markings present.

Section II – Extra Writing Space

If you use this space, clearly indicate which question you are answering.

This image shows a full page of white paper with horizontal dotted lines, typical of primary school handwriting practice paper. The lines are evenly spaced and run across the entire width of the page. There are no margins, text, or other markings present.

Section III

20 marks

Attempt Questions 25

Allow about 35 minutes for this section

Answer the question in the Writing Booklet. Extra writing booklets are available.

Your answer will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - apply the hypothetical business situation
 - communicate using relevant business terminology and concepts
 - present a sustained, logical and cohesive response in the form of a business report
-

Question 25 (20 marks)

Soho Fashion Pty. Ltd. produces exclusive leather goods and accessories. Soho Fashion owns factories in both Bangladesh and Italy and sells accessories to consumers all over the world.

Sales have been declining for years, interest rates have increased and the recent economic downturn has further impacted the business. As a result, the business is experiencing:

- Decreasing sales as customers reduce spending on luxury goods and question the use of animal-based products. The business plans to release a marketing campaign to increase sales.
- High running costs for factories due to rising fixed costs, higher raw material costs and an increase in operating expenses.
- Liquidity concerns with accounts receivables not being received on time.

Management have asked you to write a report in which you:

- Describe TWO global market influences impacting on this business
- Explain how consumer law must be considered when implementing a marketing campaign in Australia
- Recommend appropriate working capital management strategies for the business

Section IV

20 marks

Attempt EITHER Questions 26 OR Question 27

Allow about 35 minutes for this section

Answer the question in the Writing Booklet. Extra writing booklets are available.

Your answer will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
 - apply relevant business case study/studies and contemporary business issues
 - communicate using relevant business terminology and concepts
 - present a sustained, logical and cohesive response
-

Question 26 (20 marks)

Evaluate how human resource indicators can be used to measure the effectiveness of human resource management.

OR

Question 27 (20 marks)

Analyse how financial strategies can contribute to improved financial performance.

End of paper

NESA Number: _____

Year 12 Business Studies - AP4

Section I – Multiple Choice Answer Sheet

	A	B	C	D
1.				
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